

## A WORLD OF HURT FOR WORLDCOM BONDS

Buying a bond only for its yield is like getting married only for the sex. If the thing that attracted you in the first place dries up, you'll find yourself asking, "What else is there?" When the answer is "Nothing," spouses and bondholders alike end up with broken hearts.

On May 9, 2001, WorldCom, Inc. sold the biggest offering of bonds in U.S. corporate history—\$11.9 billion worth. Among the eager beavers attracted by the yields of up to 8.3% were the California Public Employees' Retirement System, one of the world's largest pension funds; Retirement Systems of Alabama, whose managers later explained that "the higher yields" were "very attractive to us at the time they were purchased"; and the Strong Corporate Bond Fund, whose comanager was so fond of WorldCom's fat yield that he boasted, "we're getting paid more than enough extra income for the risk."<sup>1</sup>

But even a 30-second glance at WorldCom's bond prospectus would have shown that these bonds had nothing to offer *but* their yield—and everything to lose. In two of the previous five years WorldCom's pretax income (the company's profits before it paid its dues to the IRS) fell short of covering its fixed charges (the costs of paying interest to its bondholders) by a stupendous \$4.1 billion. WorldCom could cover those bond payments only by borrowing more money from banks. And now, with this mountainous new helping of bonds, WorldCom was fattening its interest costs by another \$900 million per year!<sup>2</sup> Like Mr. Creosote in *Monty Python's The Meaning of Life*, WorldCom was gorging itself to the bursting point.

No yield could ever be high enough to compensate an investor for risking that kind of explosion. The WorldCom bonds did produce fat yields of up to 8% for a few months. Then, as Graham would have predicted, the yield suddenly offered no shelter: